SSMIF Securities Semester Outlook

Current Progress

The team spent the semester's opening weeks building foundational knowledge in the Fama French model:

- I assigned everyone to find 2-3 papers on Fama-French models (or extensions of those models), covering the 3-, 4-, and 5-factor variations.
- I ran a rotating schedule of presentations, where analysts shared their ideas of additional factors based on their research.
- This surfaced a working set of many candidate factors and further research, including the beta anomaly, options implied distributions, human capital, volume, and momentum, among others.

Next Steps

The team will be focusing on the basic factors found in the Fama-French and Barra models, and building and understanding them from the ground up.

The team will be split into two groups:

- Group 1 – Fama-French: Pick a security from the SSMIF portfolio, build the classic Fama-French model in Excel, construct the factor time series manually, and estimate that security's factor exposure/betas, with the emphasis on fully understanding why each factor carries a premium and where that premium comes from.
- Group 2 – Barra: Research how Barra/MSCI constructs factors (starting from company characteristics as opposed to historical returns), understand the two-step process (cross-sectional analysis, then exposure estimation), and build a parallel version in Excel, working toward the same underlying two-step logic found in Fama-French.

Once both models are running, each group will bring in the additional factors they researched and test them across various securities within and across sectors, using the size of the error term as the validation criteria. This includes testing individual factors and combinations of 3-5, and comparing that residual term.